Case: The Hostel Kitchen · facilitator notes

Organisers and judges only. Do not hand this to contestants. It goes with the contestant pack (CASE-HOSTEL-KITCHEN.md): model answers, the numbers behind them, the scores to expect, and how to run the case.

1. What the case tests

Round	Product	Consulting	Finance
1 · Build	Turning messy data into a per-box business with a break-even	Improving someone else's PRD; reading other companies for call 1	Telling strong PRDs from weak ones; IPO sizing
2 · Crisis	Redesigning the operation under a hard rule, keeping shares	Pricing a fair fee and deal; co-writing a costed plan	Investing in a rescue at a fair price; trading the shock
3 · Close	Answering news with numbers in 100 words	Calls 2 and 3 from the plans and the flash	Anchoring on AI prices; closing out risk

The trap in the data: **hygiene is students' biggest worry (52%)**, and the crisis turns it into law. Strong teams plan for food safety from the PRD on (its **Key risks** section asks for it); weak teams discover it at 00:30.

2. Round 1 model answer (the PRD, ≤800 words)

A strong company sells **dinner surplus as ₹50 "late boxes" at a counter in each hostel, 9:30–11 pm**, ordered on a WhatsApp bot and paid by UPI.

The numbers a strong PRD shows (all from the exhibits):

Line	Value
Supply	900 dinner plates wasted a day (Exhibit 1)
Demand	68% would buy at ₹50 (Exhibit 2); assume **60% of the 900 sold = 540 boxes a day**
Per box	₹50 price − ₹25 to Annapurna − ₹7 box = **₹18 contribution**
Daily costs	6 counter staff × 1.5 h × ₹120 = ₹1,080; ready-made bot ₹4,000/month ≈ ₹133/day
Profit	540 × ₹18 − ₹1,080 − ₹133 ≈ **₹8,500 a day**
Break-even	(₹32,400 staff + ₹4,000 bot a month) ÷ (₹18 × 30) ≈ **67 boxes a day**
One-off	6 insulated carriers × ₹1,800 = ₹10,800

Why Annapurna says yes: ₹25 × 540 = ₹13,500 a day for food it would bin, ₹364 a day less disposal, and waste falls from 23% to (2,900 − 540) ÷ 12,600 = **18.7%**, under the 20% audit line, which saves **₹50,000 a quarter** in penalties.

Competitive edge that convinces: an exclusive deal with Annapurna for the contract year, hostel-council counters, and the ordering data (who eats what, when), not "we have an app".

The three PRD sections teams most often leave thin:

Section	A strong answer
Core features and MVP scope	Week 1: one hostel, one counter, WhatsApp orders + UPI, insulated carriers. Left out: an app, delivery to rooms, other meals.
Success metrics	Boxes sold a day (target 540), waste % (23% → under 20%), repeat buyers in week 2 (40%+), hygiene complaints (zero).
Key risks	Hygiene (food kept above 60 °C, served within 90 minutes, a trained counter lead); Annapurna saying no (the ₹50,000 penalty it avoids); low demand (start with one hostel, expand on numbers).

Expected scores (rubric: problem 20, solution and MVP 20, metrics 15, business model 15, feasibility and risks 15, clarity 15): a PRD with per-box maths, a break-even, measurable metrics and an answer to hygiene: **80–89** (+10%). Good idea, no numbers: **60–69**. "An app to reduce food waste" with no customer or price: **40–55**.

Q&A questions worth rewarding (Finance): *Who owns the food at 9:30 pm? What happens on days 300 boxes are left? What stops Annapurna doing this itself?*

3. Round 2 model answer (rescue plan)

The rule kills the 9:30 pm box: dinner is cooked at 7:00 pm, so it is 2½ hours old.

Three options a strong plan weighs:

Option	Cost	Effect
A. "Last call" boxes sold 8:30–9:00 pm, inside the 2 hours	none	Fewer buyers (assume 35% of 900 = 315), price down to ₹40 → margin ₹8 → about **₹2,000 a day**
B. Chill the surplus below 5 °C at 8:45 pm and serve chilled/reheated boxes later	6 chillers × ₹48,000 + 6 × ₹6,000 training = **₹3.24 lakh**, + ₹240/day power	Keeps the ₹50 box and ~540 a day; payback ≈ **40 days**
C. Ask Annapurna to cook a smaller second dinner batch at 9:00 pm	Annapurna's cost	Fresh food, but no longer "surplus": loses the waste story and the ₹25 deal

Strong recommendation: A now (weeks 1–4, no cash needed, passes the first inspection), B funded by the rescue deal from week 2, back to ~540 boxes by week 6, profit back to ~₹8,000 a day by month 2. Risks: inspectors reject reheating (plan B: chilled-only menu, curd rice and salads), chillers delayed (keep A running).

Deal advice for facilitators to watch: a price around **75–85% of the post-crisis price** is fair to both sides. Below 55% with a weak plan raises a collusion flag; at 100% the fund may not sign, and an unsigned deal caps the plan at 50.

Expected scores: costed options + a phased plan + the deal's money tied to the chillers: **80–89** (+20%). One option, no money: **55–65**. "We will follow the rules and continue": **30–45** (−20%).

4. Round 3 model answer (flash, ≤100 words)

> Cooking gas is about ₹4 of Annapurna's ₹42 plate, so +25% adds ~₹1. Our boxes are surplus Annapurna has already cooked, so our cost does not change; but Annapurna may cook less. This week we hold the ₹50 box, offer Annapurna ₹27 instead of ₹25 for three months so it keeps cooking our volume (cost ₹1,080 a day), and promote boxes against delivery apps, whose prices will rise. Net: margin ₹16, still ~₹7,400 a day.

Expected: a number-based answer like this: **75–85** (+5%). A generic "we will absorb costs": **50–60** (0). Ignoring the news: **below 50** (−5%).

5. Running the case

On the night, every squad plays this case. Upload the one-case decks from `seed/one-case/` (Admin → Content, before the draw): a problem deck of **one card** gives every squad this case at the draw, already chosen (there is nothing to pick), and a crisis deck of **one card** hits every company with the food-safety rule at 00:30. Prepare `seed/flash-bulletins/07-cooking-gas.csv` as the flash bulletin. Squads, coverage and the seed check work as usual. Hand the contestant pack to every squad at the briefing.

With every squad on the same case, the judge compares like with like: the score bands in sections 2–4 apply to all 50 companies, and the market sorts them by execution (numbers, the hygiene answer, the deal) rather than by problem.

A practice round a week before, two ways.

On paper, 90 minutes. Squads of three teams around a table:

- Round 1 (30 min): Product writes the PRD on the seven-section template; Finance prepares questions; Consulting coaches. Judges score with the rubric; announce IPO prices with the tier table.
- Round 2 (35 min): announce the crisis; fee and deal on worksheet B (give each squad a post-crisis price, e.g. IPO price × 1.05 × 0.85); plan on the template.
- Round 3 (15 min): read the flash; 100-word answers in 10 minutes; score.
- Debrief (10 min): compare the strongest and weakest plans; show how the tiers moved the price.

On the platform, in a rehearsal event seeded with the one-case decks:

```
pnpm seed --slug rehearsal-1 --rehearsal --starts-at <time> --teams-per-track 3 \
  --problems seed/one-case/problem-cards.csv --crises seed/one-case/crisis-cards.csv
```

Debrief questions

- Which number in your PRD did the judge reward most? Which metric was missing?
- Was your deal price fair? Who gave up what?
- If your PRD's Key risks had covered hygiene, what would the crisis have cost you?
- Funds: which company did the market over-price compared with its AI price, and why?